

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

COMPLAINANT'S PROPOSED FINDINGS OF FACT

Complainant OJ Commerce, LLC (“OJC,” “OJ Commerce,” or “Complainant”), by and through its undersigned counsel, hereby files, pursuant to 46 C.F.R. § 502.214 and the Scheduling Order dated 03/10/2022 at 2-3, its Proposed Findings of Fact:

1. While the COVID crisis was taking place, the ocean carriers, including Respondents/Maersk, profited \$500 Billion. CX 8-9.

2. In 2022, Maersk is having its most profitable year in its 118-year history. CX 14-15.

3. In May 2002, Maersk continued to boast about its ability to rake in ever-increasing profits in the face of decreased demand through their hiking of shipping rates:

In Ocean, revenue increased 64[%] to USD 15.6 Billion during Q1 as strong rates more than offset a 7[%] decline in volumes. Revenue for the full year is expected to continue to be strong as **the increase in freight rates on our long-term contract portfolio will add approximately USD 10 Billion to revenue in 2022 compared to 2021.** CX 17 (emphasis added).

4. The ocean carriers are organized into three alliances. CX 24-25.

5. Ocean carriers have been granted federal antitrust immunity by the Shipping Act. 46 U.S.C. § 40307.

6. During the COVID pandemic, Amazon and Walmart leased ships of their own to transport their goods. CX 29-31.

7. President Biden stood on the banks of the Pacific Ocean at the Port of Los Angeles in June 2022 and underscored the singular role of the Federal Maritime Commission. CX 34.

8. President Biden highlighted the issue and called upon Washington to let the shipping carriers know that “the rip-off is over.” CX 34.

9. Maersk calculates strategies to conceal their improper pricing practices from regulators ([REDACTED])

[REDACTED]). CX 41.

10. Maersk even colludes with its largest competitor, Mediterranean Shipping Company SA (“MSC”), to improperly share shipping rates, ([REDACTED]
[REDACTED]
[REDACTED]
[REDACTED])). CX 48.

11. Commissioner Rebecca Dye recently testified that the FMC has been self-initiating complaints against carriers due in part to a lack of complaints filed directly from exporters:

We didn’t get as many complaints as we wanted, because our exporters are concerned about retaliation. ... I can assure you that that is a violation of the Shipping Act. And we would take prompt and decisive action if we heard about any carrier actually retaliating against any exporter or any other supply chain actor for coming to the FMC with a complaint. CX 60.

12. On December 28, 2021, the FMC also issued the “Statement of the Commission on Retaliation,” wherein it assured shippers and the public that “[t]he Commission has, and will continue, to take seriously and investigate thoroughly allegations of carrier retaliation[,] ... [and] it will interpret 46 U.S.C. § 41104(a)(3) – the anti-retaliation provision – broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” Statement, Dkt. 21-15 at 1.

13. In its proceeding, MSC has abjectly refused to produce required discovery despite multiple Court Orders, which has resulted in an Order to Show Cause why default judgment shouldn’t be entered. CX 63-65.

14. Both Maersk and MSC are in the same 2M Alliance, consistently the top two container companies in the world, and collectively responsible for shipping around 40% of all

containers. CX 66.

15. OJC's claim of unreasonable practices under 46 U.S.C. § 41102(c) is no longer at issue, as Maersk paid the full amount of the wrongful demurrage charges sought in its Verified Amended Complaint (\$40,680.32). (CX 466 ¶ 3).

16. OJC is a company headquartered in Florida. CX 466 ¶ 2.

17. OJC is an e-commerce retailer that sells dropship products from domestic inventory of hundreds of brands. CX 467 ¶ 4.

18. OJC also has a direct import program where OJC buys household goods, including a wide variety of furniture and office products, globally for sale in the United States. OJC's imports come from Asia and Brazil and are delivered to California or Kentucky. CX 467 ¶ 4.

19. This case primarily concerns the latter, import business of OJC. CX 467 ¶ 4.

20. Hamburg Sud North America, Inc. ("HSNA") was, until November 1, 2021, a wholly-owned subsidiary of the common carrier, HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-GESELLSCHAFT A/S & CO KG ("HSDG"). HSNA and HSDG are collectively referred to as "Maersk." (CX 101 ¶ 2.)

21. The FMC has jurisdiction over HSNA because (a) it is a "person" subject to regulation by the FMC based on its acts in conjunction with HSDG in violation of 46 U.S.C. §§ 41104(a)(3), and 41104(a)(10) (for all, (a) "A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not..." (emphasis added)), (b) HSNA is a party to the Service Contract with OJC and both Respondents, and (c) as shown herein, HSNA and its employees were part and parcel of the decision to retaliate and refuse to deal with OJC. CX 212-231.

22. Both HSNA and HSDG are owned by Maersk A/S, one of the two largest ocean

carrier container companies in the world. (CX 67, n.1; CX 89, 109:23 - 112:5.)

23. In its Answer in this proceeding, HSDG stated that “HSDG no longer exists. HSDG was merged into its former parent company Maersk A/S on November 1, 2021.” CX 67, n.1.

24. Juergen Pump – a former top executive for Respondents – testified that Maersk acquired Hamburg in 2017 and “[REDACTED].” CX 89, 109:23 - 112:5.

25. As for HSNA, Respondents represented that on November 1, 2021, “HSNA became a wholly-owned, indirect subsidiary of Maersk A/S. On January 1, 2022, HSNA was merged into Maersk Agencies USA, Inc., the U.S. subsidiary and general agent of Maersk A/S.” CX 101 ¶ 2.

26. HSNA and HSDG are collectively referred to as “Maersk” or “Respondents.”

27. HSDG is a common carrier that is subject to the jurisdiction of the FMC. CX 68 ¶ 2.

28. Maersk’s profits in 2021 exceeded its profits for the past nine years combined. CX 103-104.

29. OJC and Respondents’ (collectively, the “Parties”) relationship began on or about June 23, 2020, when OJC entered into what the Shipping Act calls a “Service Contract” with Respondents for the shipment of goods by sea from foreign countries to the United States and for the delivery to warehouse facilities within the United States via truck. CX 119-135; CX 467 ¶ 5.

30. The Contract governed the Parties’ relationship between June 23, 2020 to May 31, 2021 (the “Active Term”), with minimum volume/quantity commitment (“MQC”) for 400 TEU containers. CX 119-135; CX 467 ¶ 5.

31. The Parties’ Contract’s Number was AECC0000291. CX 119.

32. The shipping lanes were from East Asia to North America West Coast; the Parties

also entered into a contract with shipping lanes from Brazil to North America East Coast and North America West Coast (collectively, “Shipping Lanes”). CX 119-135; 136-146; CX 467 ¶ 5.

33. TEU is short for “Twenty-Foot equivalent unit” – which is the same as 200 FFE, short for “Forty-Foot Equivalent.” In other words, two TEUs equals one FFE. CX 467 ¶ 5.

34. The Parties also entered into a Brazil to United States Agreement in March 2021. CX 136-146; CX 467 ¶ 5.

35. In the Contract, the parties also agreed the cargo shipped would be reasonably spaced throughout the Active Term. CX 125.

36. OJC was entitled to 8 TEU/week under the Contract. (CX 147, July 13, 2020 4:28 PM email.)

37. 8 TEU per week multiplied by 49 weeks (the length of the Contract) is approximately 400 TEU (the service commitment in the Contract. (*See* CX 125; CX 147, July 13, 2020 4:28 PM email.))

38. Maersk’s commitment was increased to 10 TEU/week on August 3, 2020. CX 153.

39. On September 22, Andrea Casanova produced an internal chart that showed that Maersk was behind in fulfilling their obligations of 10 TEU/week under the Contract. CX 153.

40. Two days later, Casanova communicated internally at Maersk that OJC was again refused space and that Maersk was not on track to meet OJC’s 10 TEU/week MQC. CX 148.

41. Maersk’s failure to provide space as promised lead to them falling farther behind on living up to the terms of the Parties’ Contract, and to OJC sending a demand letter on October 16, 2020, “regarding [Maersk’s] unavailability to confirm our 10 teus [per week] commitment from Asia.” CX 157-160.

42. After the demand letter was sent, on October 19, Casanova again internally

confirmed that the weekly commitment was 10 TEU and that OJC “was seeking for an additional space of 28 FFE to make up for the shortfalls due to our cancellations and declined bookings,” with a breakdown of “Space rejected by carrier.” CX 156.

43. Casanova is an Account Executive for Respondents and point person in Maersk’s dealings with OJC. (See, e.g., CX 155.)

44. On October 21, 2020, Michael Gast of Maersk’s Risk Management sent a lengthy internal email about the situation, stating in part:

- What can we do to provide at least space for 8-10 TEU per week for this account? **I understand space is limited and other customers are paying a premium for space presently but any additional profit gained from those premiums is going to quickly go out the window if this matter goes to trial.**
- With a weekly average of 8 calculated by the MVC and number of weeks in the contract term **we are indeed behind by 56 [containers].**
- **This is a very bad case for us which we will likely lose** so I must ask that space dispensation be granted for this customer and they be treated with hyper care for the immediate future until such time that things have stabilized and they have backed off their threats of formal lawsuit.
- At present **based on the emails I have seen I do not have confidence in our ability to establish that we are doing our part under these terms.** It also sounds like they have a lot of emails showing we have canceled their bookings w[hich] will only serve to make us look bad in front of a judge and jury. CX 161 (emphasis added).

45. As of March 2021, OJC was still not receiving its contracted-for space from Maersk. CX 169-173; CX 467 ¶ 7.

46. OJC was identified internally by Maersk as a “loyal customer with [a] long collaboration history.” CX 173.

47. As a result, throughout early 2021, Maersk sought to secure much more of OJC’s business. CX 467 ¶ 8.

48. Maersk did so through Casanova by promising to make OJC a priority customer by supplying more containers, dedicated space protection (or “SP”), and committed personnel to ensure better service for OJC’s shipments. CX 467 ¶ 8.

49. In reliance on Maersk’s promises, OJC did not renew its service contracts with other carriers it had been using in 2020-2021 and agreed to consolidate all its imports with Maersk. CX 467 ¶ 8.

50. With the Contract set to expire on May 31, 2021, the Parties began negotiating in early 2021 about a service contract renewal for the 2021-2022 season. CX 80, 194-195, ¶ 41; CX 468 ¶ 9.

51. Jacob Weiss of OJC and Casanova of Maersk were the lead negotiators. CX 468 ¶ 9; CX 203.

52. Weiss informed Casanova that OJC had the demand during the 2020-2021 season to move 3500 High Cube (“HC”) FFEs had Maersk provided OJC the space it was asking for, and that based on that demand, it could ship 4200 to 4700 containers with Maersk in 2021. CX 468 ¶ 10; (CX 203).

53. Casanova’s email confirmed Weiss’s statements but mistakenly stated that OJC had in fact moved 3500 FFEs in 2020, when Weiss had actually conveyed that demand for OJC’s products was such that it could have moved 3500 containers if Maersk had made that space available. CX 468 ¶ 10.

54. This narrative is consistent with Casanova’s testimony at deposition where she confirmed that during the 2020 service period, OJC continuously asked her to provide them with more space than had been allocated under the contracts. Specifically, “[REDACTED]” more per week. (CX 206-208, 175: 8-22 and 208:20 - 209:1.)

55. The goal of both OJC and Respondents was to lock in a higher MQC/week to better meet OJC's increasing demand for containers. CX 468 ¶ 10; CX 203.

56. OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022, and Casanova worked on getting the new contract drafted. CX 203. CX 468 ¶ 11; CX 203.

57. Casanova confirmed those deal points on April 27, 2021. CX 203.

58. That same day, Maersk confirmed internally that OJC's account should be added to Maersk's TPEB team's "target list," meaning that OJC's account was a priority target for renewal. CX 411, 134:3 - 135:17; CX 203.

59. Service Contracts are negotiated during the spring of each year for the contract year starting between April-May until April-May of the following year. (CX 94, 161:1 - 163:1)

60. TPEB is short for Trans-Pacific East Bound, in other words, shipments from Asia to North America. CX 410, 128:8-14.

61. On April 28, 2021, OJC sent a demand letter to Respondents on the subject:

Pursuant to the "Minimum Volume Commitment" clause of the agreement, [Page 7], HAMBURG SÜD committed to a minimum of 400 TEU between June 23, 2020 and May 31, 2021. **Over the last few months, HAMBURG SÜD refused to accept the agreed upon 10 TEUs per week, as a result OJC has accumulated over 40 containers waiting for shipment, causing significant economic harm and interruption of business.**

OJC hereby provides HAMBURG SÜD notice of breach of the Service Agreement, which has caused significant economic harm to OJC. I hereby demand that HAMBURG SÜD immediately honor the Service Agreement rates and minimum TEU quantities. **Failure to cure the breach by May 3, 2021, may result in legal action against you and your affiliates, as well as the filing of a petition to the Federal Maritime Commission to seek relief.** CX 210 (emphasis added).

62. On April 29, 2021, the day after the demand letter was sent, Casanova confirmed internally that Maersk had indeed failed to satisfy the MQC by 18 FFE because space for OJC had been declined. CX 215.

63. Casanova also confirmed that she had spoken to Weiss and “he does not want to end the relationship with us and just look for the fair that we promised,” and that “[h]e is open to any solution that can offset this deficit.” CX 215.

64. Casanova went on to state that “based on the above and since we are working to renew the contract” that Maersk should initially increase the MQC by 200 FFE giving a total of 400 FFE, in order to cover the deficit and commit to handling more of OJC’s shipping volume. CX 215.

65. Casanova put together a new service contract, “NOAC10000728 Effective June 1, 2021, until May 31, 2022,” which contained “the same lanes, rates, and conditions of the current contract AECC0000291 and an increased MQC 400 FFE.” CX 214.

66. All negotiations and agreements for 2021-2022 took place months before the spot market rates went through the roof. CX 468 ¶ 12

67. Consistent with her internal email, Casanova had informed Weiss after the demand letter was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC’s shipping volume. CX 215; CX 468 ¶ 13.

68. Casanova and Weiss reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022. CX 215; CX 468 ¶ 13.

69. On April 29, 2021, within hours after Casanova’s email describing a renewal contract and the day after receiving a threat from OJC to file a complaint with the FMC, Kevin Li of Maersk, sent an email entitled “OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021” to Juergen Pump. CX 220-221.

70. Pump was the then-top executive of HSNA. CX 91, 128:6-10; CX 412, 143:23 - 144:11.

71. Li informed Pump that Maersk had not provided the agreed-upon space in the Parties' Service Contract and OJC had threatened litigation. CX 220-221.

72. Pump responded to Li's question as to whether Maersk "still want[ed] to engage this account with contract renewal" by stating:

Hi Kevin.

Fully agree. **We should not engage in any renewal discussions with customer in light of the potential litigation. I would also not provide them with space under the existing contract.** The shortfall will be compensated as per contract terms.

Brgds

JP (CX 220 (emphasis added).)

73. Subsequently, Li informed the service contract negotiating team of Pump's "executive decision" to "not engage in any renewal discussion with [OJC] in light of potential litigation":

As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. I consulted with Juergen [Pump] and **the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation. Please disengage on renewal negotiation with this account, thanks.** CX 227 (emphasis added) (April 29, 2021 email).

74. Li also relayed Pump's decision to cut off OJC from any further available space under the parties' then-existing Service Contract: "But just to express our position on this, **we should also consider not to provide them with space under existing contract.**" CX 227 (emphasis added) (April 29, 2021 email).

75. The decision to cut off OJC in retaliation for sending its threat of an FMC complaint spread throughout Maersk within hours:

As it stands I believe we are unlikely to meet our duties under these contract terms. I have raised this issue to both commercial teams here and colleagues at origin responsible for accepting these bookings. The first time this occurred I

stressed the financial impact such a lawsuit could carry and I have done so again. **It appears our local sales colleagues had tried to address the capacity issue with origin but were advised that no additional space would be granted for this customer.** CX 229 (emphasis added), in a chain with OJC's email and demand letter dated April 28, 2021 (CX 209-211).

76. Maersk admitted that the following in their Answers to Amended Complaint:

41. During April 2021, the parties were engaged in discussions about renewing the parties' service contract. Throughout those discussions, there were conversations about the MQC of the renewal, but never about there being no renewal at all.

Admitted.

42. Out of the blue and with no prior notice, on May 4, 2021, Respondents unilaterally notified Complainant that there would be no service contract renewal **under any terms**, but instead that Respondents would "work case by case" with Complainant using spot market rates. Thereafter, Complainant attempted to negotiate a contract with an even more limited scope – such as a port-to-port only contract – but Respondents rejected Complainant's proposal out of hand within hours, leaving Complainant entirely without a shipping service contract of any sort past May 31, 2021.

Admitted. (CX 80, 194-195 (emphasis added).)

77. Maersk's retaliation was also done **knowingly** in violation and in willful disregard of the Shipping Act. Pump – who made "the executive decision [] that [Hamburg] should not engage in any renewal discussion with customer [OJC] in light of potential litigation" (CX 227) – admitted in his deposition that Maersk knew it was not allowed to retaliate against OJC based on the threat of a lawsuit or FMC complaint:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] (CX 96, 208:4-18.)

78. In fact, Maersk had internal compliance training on the Shipping Act. As a result, Maersk knew that a customer threatening or actually bringing a lawsuit or FMC complaint was not a legitimate reason to refuse to deal or negotiate with that customer:

Q I am not asking if you have cases like that. But I am asking whether or not the compliance

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] (CX 95-96, 204:24 – 206:19 (emphasis added).)

79. As a result of Maersk’s retaliation, in 2021-2022, OJC was forced to mitigate its losses, and obtain what limited space it could on the spot market at extremely high rates. CX 468-469 ¶ 14.

80. But often OJC was unable to secure shipments, and in most cases was forced to forgo making shipments of goods to the United States altogether because the spot rates became too expensive to justify the cost of container freight. CX 468-469 ¶ 14.

81. Due to its retaliating against OJC for complaining about Maersk’s violations of the Shipping Act, Maersk massively harmed OJC’s direct import product business and in the process caused an enormous amount of damages to OJC. CX 468-469 ¶ 14.

82. OJC asked Maersk in its First Interrogatory No. 7 (“OJC INT 7”) to “[i]dentify and describe in detail the reasons, policies, and considerations concerning [Maersk’s] unwillingness or refusal to renew or enter into a Service Contract with OJC.” CX 236.

83. In response, Maersk gave, in part, the following answer:

[T]he decision was based in part on [i] OJC’s relatively low volume commitment, [ii] OJC’s lack of cargo volume in other trade lanes, [iii] the availability of space in the Transpacific trade, [iv] the rate levels sought by OJC, [v] Respondent’s past experience with the timeliness of OJC’s payment and the perceived credit risk associated with that payment history, and [vi] the fact that OJC did not purchase ancillary services from Respondent. Respondent’s decision was also based in part on [vii] OJC’s disputatious manner of doing business and its repeated and excessive threats to pursue litigation against Respondent, which threats were disproportionate

to the issues between the parties and also disregarded the dispute resolution procedures and remedies for breach of contract set forth in the service contract between the parties. CX 236.

84. Casanova promised that Maersk would provide an initial contract of 400 FFE MQC, to make up for past failures by them and to show its interest in handling more of OJC's shipping volume. CX 214-215.

85. Maersk sought to win more of OJC's shipping business and admitted that OJC could move between 4200-4700 FFE with a renewal contract. CX 203.

86. Casanova even testified that during the term of the first Contract, OJC was always asking for more containers, above and beyond the 10 TEUs per week that Respondents were already obligated to provide:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

(CX 206, 175:8-22 (emphasis added).)

87. OJC had a contract with Maersk for shipments from Brazil and even planned to move thousands of additional containers through Kentucky. CX 136-146; CX 203; CX 469 ¶ 15.

88. According to Pump, OJC shipping to Kentucky made OJC "more attractive" as a customer. CX 92-93, 137:13 - 139:20, 142:3-21.

89. Maersk's own internal emails admit that for the 2020-2021 contract, OJC originally

proposed a minimum volume of “1266x40hc per year” that included a Kentucky line, but Maersk “rejected it initially.” CX 242-243.

90. Maersk subsequently regretted its decision to reject OJC’s 2020-2021 volume – which was significantly higher than the 400TEU MQC in the Contract – stating “[e]specially for this kind of volume, I would have love[d] to take a look before we declined 2500TEU.” CX 242.

91. OJC’s supposed lack of shipping volume in other trade lanes was Maersk’s fault, not OJC’s. CX 242-243.

92. OJC demanded that Maersk “[i]dentify how many Service Contracts [Maersk] entered into during 2021 on or after April 28, 2021, including for each such Service Contract the date it was entered into, total FFEs or TEUs, the shipping lines included, and the shipping prices.” CX 255.

93. Maersk refused to produce the shipping prices, but it did produce a list of such contracts and the MQC for each. CX 7; CX 283-284.

94. That list showed that Maersk had entered into service contracts with a prefix of NOAC for [REDACTED] TEUs after April 29, 2021. CX 214; CX 469 ¶ 16; CX 283-284; *see also* CX 285-286, HSDG’s Resp. to OJC RFA 1-4 (Respondents admitting that they entered into service contracts after they retaliated against OJC).

95. The prefix for Maersk’s 400 FFE MQC contract proposed by Casanova to make up for their shortfalls in 2020-2021 was NOAC. (CX 214.)

96. Pump testified that it was “unreasonable” for OJC to request the same contract rates for its renewal. CX 98-100, 227:25 - 229:3, 235:4 - 236:8.

97. But it was Maersk who proposed a “new contract [with] the same ... rates ... of the [then-]current contract.” CX 214.

98. Shipping rates only started to significantly increase after April 29, 2021. CX 468 ¶ 12.

99. Maersk produced no documents that supported statement that Maersk's past experience with the timeliness of OJC's payment and the perceived credit risk associated with that payment history was a reason why it did not deal with OJC. *See, e.g.*, CX 292-294; CX 469 ¶ 17; CX 466 ¶ 3.

100. The only dispute that the Parties had about payments was when Maersk charged OJC demurrage fees and OJC had to pay them to obtain its shipments. CX 292-294; CX 469 ¶ 17; CX 466 ¶ 3.

101. Maersk ended up refunding all of OJC's claimed demurrage fees after this case was filed. CX 469 ¶ 17; CX 466 ¶ 3.

102. OJC had only sent two threats of litigation to Respondents. CX 296, 131:4-21.

103. In both instances, Maersk admitted in their internal emails that it was in the wrong, not OJC. CX 161, 215.

104. Maersk knew that it was explicitly precluded from retaliating against OJC for its threats to take its complaints to the FMC. CX 96, 208:4-18; CX 95-96, 204:24 – 206:19.

105. Maersk has also argued the inability of the parties to come to a renewal contract was about Maersk "refus[ing] to accede to every demand of [OJC]." (Respondents' Partial Motion to Dismiss and/or for Summary Judgment, dated July 26, 2022, at 6.)

106. Maersk refused to produce any documents in response to OJC RFP 26, which was originally served on March 7, 2022. CX 300.

107. On June 29, 2022, the Presiding Officer granted OJC's motion to compel responses, ordering Maersk to produce "any policies, procedures, guidance, training, or instructions regarding

pricing for shipping or determining prices charged for shipments under service contracts and on the spot market.” CX 300.

108. Maersk did not comply with the Court’s Order. CX 309.

109. On August 31, 2022, after OJC moved for expedited relief, the Presiding Officer stated that “Respondents are again ordered to provide complete responses to OJC RFP 26 and all responsive documents must be provided within seven calendar days of the date of this order [September 7, 2022].” CX 309.

110. The Presiding Officer “warned that failure to do so may result in sanctions, including directing facts to be established, prohibiting claims or defenses, striking pleadings, or dismissing claims or defenses. 46 C.F.R. § 502.150(b).” CX 309.

111. The Court also found that “the spot market rates reflect pricing and pricing strategy .. [that is] information ... highly relevant to the claims in this proceeding.” CX 308.

112. The documents Respondents have produced clearly do not reflect the prices that Maersk really charged shippers. CX 320-321.

113. When this issue was previously raised, Maersk intentionally misled the Court leaving it confused about what in fact was produced. CX 317.

114. The documents Maersk claims are fully responsive to this request state that the prices do not include “Origin Charges, BAF, ISPS, and ECA.” CX 320-321.

115. And although the pricing charts contain entries for BAF and ECA charges, the Origin Charges and ISPS charges are not included. CX 320-321.

116. Nor are any “premium” charges included, which Maersk refers to itself in internal emails. CX 322 (“[OJC] ha[s] pushed several times for additional space which we informed only by **premium rate**.” (emphasis added)); CX 53 (“Premium Charge” column) in reference to other

carriers.)

117. This information was withheld and never produced by Maersk throughout the whole discovery period. CX 7.

118. Without this information, OJC still does not have Maersk's full spot market rate pricing information that is "highly relevant" to OJC's claims. CX 7.

119. In the Court's August 31, 2022 Order, the Presiding Officer held:

Respondents are hereby ordered to identify Maersk management who would have information regarding pricing decisions. If appropriate Maersk witnesses are provided, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will not be required. However, if appropriate witnesses at Maersk are not identified and provided for deposition, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will be permitted. Even if Maersk were considered a non-party, if their managers have relevant information then their testimony can be subpoenaed. **Respondents must identify appropriate witnesses and within seven calendar days of the date of this order [September 7, 2022] agree on a date and time for their depositions.** CX 312 (emphasis added).

120. Maersk did not comply with this part of the Court's Order. CX 323.

121. Maersk did not identify a proposed date and time for a Maersk management witness until September 29 – 22 days late – and after the initial discovery period had already expired. CX 323.

122. The proposed date was Yom Kippur, on which Maersk knew OJC and undersigned counsel would not be available. CX 7, ¶ 53, 323.

123. Yom Kippur, October 5, 2022, is one of the most important Jewish holidays of every year. CX 7, ¶ 53, 323.

124. The proposed date was Yom Kippur, on which Maersk knew OJC and undersigned counsel would not be available. CX 7, ¶ 53, 323.

125. A second date was simply an extra few hours the Friday after Yom Kippur for overflow questions that could not be completed on Yom Kippur. CX 7, ¶ 53, 323.

126. Maersk's delay tactic violated the Court's Order by running out the clock, and precluded OJC from taking the deposition. CX 323.

127. Regardless, Maersk pretended to produce a witness on October 7, 2022 for an hour, knowing that there was no agreement that a unilaterally-limited deposition would take place on that date. CX 325.

128. Maersk's charade – obviously concocted to make it appear like they were cooperating – went well past just violating the Judge's August 31 Order and descended into mocking it. CX 325.

129. Maersk then compounded its contempt by subsequently ignoring OJC's notice of deposition for Maersk's CEO that the Court ordered if Maersk would not provide the pricing executive as required. CX 334-336.

130. Maersk has made no attempt to overcome the presumption that material attached to or included in a substantive filing is subject to the public right to access.

131. Maersk designated and continues to maintain the wrongful designations after challenges from OJC.

132. Maersk refused to produce any documents – including all internal and external communications – concerning their policies, procedures, or plans concerning blank sailings (which are used to manipulate pricing and space), documents showing their actual spot market rates charged for 2021-2022, and documents showing their service contract rates for 2021-2022. CX 367 (OJC 2d RFP 2); CX 367, 376-377 (OJC 2d RFP 4 and OJC 3d RFP 20); CX 376 (OJC 3d RFP 19); CX 7, ¶ 54.

133. The Presiding Officer has already warned Maersk that it could sanction it for failing or refusing to obey an order requiring it to make disclosures or to respond to discovery requests.

CX 309.

134. Maersk repeatedly refused to produce any documents that identify all the charges included in their spot market pricing – which was ordered multiple times by this court – effectively precluding OJC from discovering that “highly relevant” pricing information. CX 308; CX 7, ¶ 54.

135. Maersk also refused to produce any service contract pricing. CX 308; CX 7, ¶ 54.

136. Maersk’s refusals were persistent and continued even after being warned by the Court. CX 309.

137. Maersk clearly violated the Shipping Act by retaliating against OJC and refusing to deal with OJC. CX 220-221.

138. Those violations seriously damaged OJC and caused it to sustain actual injury. CX 475, ¶ 32.

139. OJC is entitled to an order directing Maersk to pay OJC’s reparations for its actual injuries sustained. 46 U.S.C. § 41305(b).

140. To assist the Commission in determining the appropriate measure of damages in this case, OJC retained Richard C. Berning. CX 438, 448-459.

141. Mr. Berning has been involved in hundreds of matters involving damages and business valuations in a variety of venues over the past thirty years. CX 438, 448-459.

142. Mr. Berning has been appointed by the Courts as an expert witness and Financial Early Neutral Evaluator and testified on more than 145 occasions. CX 438, 448-459.

143. Mr. Berning is a frequent speaker locally and nationally on business valuation, damages and related topics, having developed and/or taught more than 170 courses to various professional and business organizations. CX 438, 448-459.

144. Mr. Berning’s formal curriculum vitae is attached to his Expert Report. CX 438,

448-459.

145. Mr. Berning has analyzed the injurious effects of Mearsk's Shipping Act violations under three different methodologies, two of which are the focus of OJC's brief: (1) Lost Profits; and (2) Shipping Rate Differentials. CX 422.

146. Jacob Weiss of OJC also calculated OJC's damages consistent with the mathematics outlined below, and in Mr. Berning's Reports. CX 469 ¶ 18.

147. Jacob Weiss has 30 years of experience calculating damages, profits, costs, financials, and other business- and litigation-related calculations. CX 469 ¶ 18.

148. The following defined terms for the calculation of each of the four categories of lost profits:

Fiscal Year 2020: Shipping contracts in this instance cover the period starting June 1 through May 31 the following year. "Fiscal Year 2020" is for the period June 1, 2020 through May 31, 2021.

Fiscal Year 2021: "Fiscal Year 2021" is the period June 1, 2021 through May 31, 2022. CX 422-423; CX 469-470 ¶ 19.

149. OJC compiled an average revenue per container shipped during the period June 1, 2020 through July 16, 2022. CX 422-423; CX 469-470 ¶ 19.

150. These amounts are based on actual products shipped and the selling price of the products. CX 423; CX 470 ¶ 20.

151. The average revenue per container was computed to be [REDACTED]. CX 423; CX 470 ¶ 20.

152. Based on the same containers that were used for the average revenue calculations above, OJC computed the average gross profit per container to be [REDACTED]. CX 423; CX 470 ¶ 20.

153. Gross profit is revenue less the costs of the product. CX 423; CX 470 ¶ 20.

154. To compute the cost of the product, OJC captured all the costs including the

[REDACTED]

[REDACTED]. CX 423; CX 470 ¶ 20.

155. OJC utilizes

[REDACTED]. CX 423; CX 470 ¶ 20.

156. All these costs were captured and deducted. CX 423; CX 470 ¶ 20.

157. Even though OJC was projecting significant increase in sales in fiscal 2021 (and resulting need for additional containers), [REDACTED]

[REDACTED]. CX 423; CX 470 ¶ 20.

158. Accordingly, the direct variable costs included produce the net profit per container. CX 423; CX 470 ¶ 20.

159. As a result, OJC has captured the vast majority, if not all, of the costs relating to the sale of products. CX 423; CX 470 ¶ 20.

160. The calculations are included on an attached spreadsheet. CX 470-471 ¶ 20 and Weiss Ex. 101.

161. OJC experienced incredible demand for its products in late 2020 and early 2021 due in large part to the COVID pandemic during which millions purchased household goods – such as those sold by OJC – while they sheltered at home. CX 423; CX 206-208, 175: 8-22 and 208:20 - 209:1; CX 470-471 ¶ 20.

162. This increased demand was especially true for the company's direct import program. CX 423; CX 206-208, 175: 8-22 and 208:20 - 209:1; CX 470-471 ¶ 20.

163. The products sold through the direct import program produce higher profit margins than products that were sold from domestic inventory. CX 470-471 ¶ 20.

164. This growth – driven by so many working from and staying home – is what precipitated OJC’s need for more containers in Fiscal Year 2021. CX 471 ¶ 20.

165. Prior to the start of Fiscal Year 2021, OJC undertook a study to estimate the number of containers that they would need in that coming year. CX 471 ¶ 21; Weiss Decl., Ex. 100.

166. These projections estimated the sales of each product and the number of containers that would be needed, and came to the conclusion that 4,598 containers would be needed for Fiscal Year 2021. CX 471 ¶ 21; Weiss Decl., Ex. 100.

167. Because of these calculations, OJC communicated their desire to Respondents for 4,200 to 4,700 containers for fiscal 2021. CX 471 ¶ 21; Weiss Decl., Ex. 100.

168. These amounts are corroborated in an April 27, 2021 email from Casanova sent to Ivan Cheung and Li (all with Maersk) which states that OJC “plans to move between 4200 to 4700 FFE in 2021.” CX 203.

169. OJC’s increased expectations at that time was consistent in the marketplace for the types of products that OJC was offering, i.e., household goods that consumers were buying in huge numbers because they stayed home during the pandemic. CX 470-471 ¶¶ 20-21.

170. These increased expectations are also consistent with Maersk’s CEO’s observations and experience with drastically increased volumes at that time:

“I mean pretty much everybody have bought the new couch, the new set of lounge furniture, the new TV screen, whatever, all the things that we were all spending our money on during the pandemic.” CX 406 (Q2 2022 Results – Earnings Call Transcript).

171. The support for 4,700 containers can be found in Maersk’s own statements about increasing volume, OJC’s detailed calculations used to plan the number of containers that would be needed, and the general increased demand for household goods, especially in an e-commerce setting. *Id.*; CX 470-471 ¶¶ 20-21; Weiss Decl. Ex. 100.

172. Maersk was required to provide a minimum of 200 containers and only produced 185, or a deficit of 15 containers. CX 424; CX 471 ¶ 22.

173. Maersk's internal emails state the following quotes:

This customer has threatened to take legal actions against Hamburg Sud **and now because allocation was not honored, we'll need to increase their SPL to compensate the units not loaded.**

...

They have pushed several times for additional space which we informed only by premium rate but from what I was told, this is a low paying cargo and they can't afford so they found a way to get their additional space. In my almost 5 years with this trade I've never seen such action (and we had space issues every year) but legally is their right. CX 322 (Email dated October 22, 2020) (emphasis added).

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I understand space is limited and **other customers are paying a premium for space presently but any additional profit gained from those premiums is going to quickly go out the window if this matter goes to trial.** CX 161 (emphasis added).

174. Maersk had the strongest motive to deny OJC space under the Contract: so that Maersk could sell that space to others for a "premium" price. *Id.*

175. Maersk's own emails explicitly admit that they retaliated against OJC by refusing to honor its shipping commitments in the Parties' Contract. *See* CX 220-221, 227, 229.

176. To compute the specific loss caused by that retaliation, the deficit of 15 containers would be multiplied by the anticipated average net profit per container of [REDACTED]. CX 424; CX 471 ¶ 22.

177. The result is a loss of [REDACTED] computed as follows:



CX 424; CX 471 ¶ 22.

178. Maersk was also required to provide a minimum number of weekly shipments during Fiscal Year 2020. CX 424; CX 153, 148; CX 472 ¶ 23.

179. Respondents repeatedly missed the weekly minimum and by the end of the year the weekly shortfalls totaled 105 containers. CX 424, 439-440. (See **Exhibit A.**)

180. The weekly minimum is confirmed in an email between Michael Gast and Andrea Casanova (both of Respondents), with the relevant portion reproduced here (CX 156):

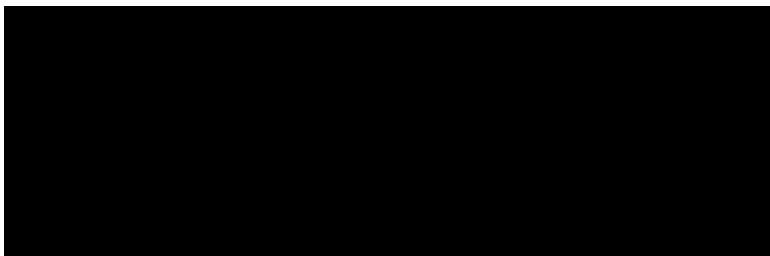
4. Was there any formal documentation confirming our obligation to carry the additional 2 TEUs a week or does this fall under the terms of the contract which stipulate we can accept more cargo at our discretion [3.(a)(2)]. There was not a formal documentation. Customer was informed by email that SP was increased to 10 TEU per week on 08/03/2020 (Third attachment)

181. Maersk retaliated by (1) refusing to ship the weekly MQC of 10 TEU required by the Contract, and (2) unilaterally terminating a renewal contract that would have compensated OJC for these shortfalls. (See CX 214, 220-221, 227-228.)

182. “SP” stands for “space protection,” which means that a particular customer will have space protected and prioritized for them. (CX 208, 114:16 - 115:18, 209:14-23.)

183. To compute this specific loss, the deficit of 105 containers would be multiplied by the anticipated average net profit per container of . CX 424; CX 472 ¶ 23.

184. The result is a loss of  computed as follows:



CX 424; CX 472 ¶ 23.

185. OJC was either unable to procure shipments, or was forced to not ship product at all because the containers would cost more than the goods in the containers. CX 472 ¶ 24.

186. Had Maersk not retaliated, OJC would have shipped 4200-4700 containers as projected given the enormous demand for home goods during 2021-2022. CX 475, ¶ 32; *See* CX 214, 220-221, 227-228; CX 472 ¶ 24.

187. The expected contract rates used for this analysis were those contained in the Contract and the Brazil agreement addition. *See* CX 214, 220-221, 227-228; CX 472 ¶ 24.

188. Those rates were also contained in the renewal contract proposed by Maersk – “NOAC10000728 Effective June 1, 2021, until May 31, 2022” – which contained “the same lanes, rates, and conditions of the current contract AECC0000291.” CX 214; CX 472 ¶ 24.

189. They are listed below in this chart:



CX 425, 441-444 (See **Exhibit B** for a detailed calculation.); CX 472 ¶ 24.

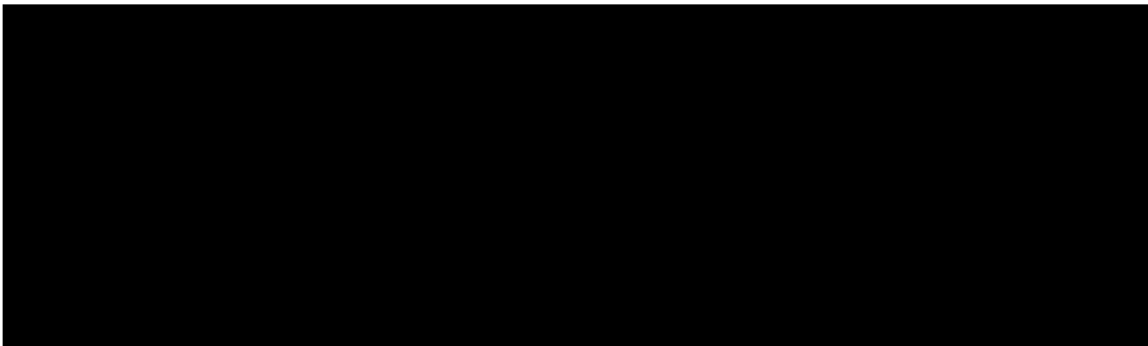
190. The total of excess shipping charges OJC paid for these 143 containers (actual less contract rates) was [REDACTED]. CX 425, 441-444 (See **Exhibit B** for a detailed calculation.); CX 472 ¶ 24.

191. Maersk's violations caused OJC to go to the spot market and pay prices that were considerably higher than contract rates. CX 472 ¶¶ 24, 25; and CX 425.

192. The Parties had agreed to ship between 4,200 and 4,700 containers. CX 472 ¶¶ 24, 25; and CX 425.

193. By unlawfully retaliating against OJC and refusing to renew the contract, Maersk forced OJC into a position where it simply could profitably operate its business because shipping the containers would cost more than the goods in the containers were worth. CX 472 ¶¶ 24, 25; and CX 425.

194. The damages for this category are measured by multiplying the shortfall of containers by the profit margin per container. These calculations are done using either the 4,200 or 4,700 total containers expected for Fiscal Year 2021, minus the 143 containers actually shipped, respectively as follows (CX 426; CX 473 ¶ 26.):



195. To summarize the four categories of lost profits discussed above, OJC's **total lost profits** are calculated as (CX 426; CX 473 ¶ 28(1)):



196. As another method of calculating its damages, OJC computed the difference between the contract shipping cost and the spot rate shipping costs. CX 426; CX 473 ¶ 27.

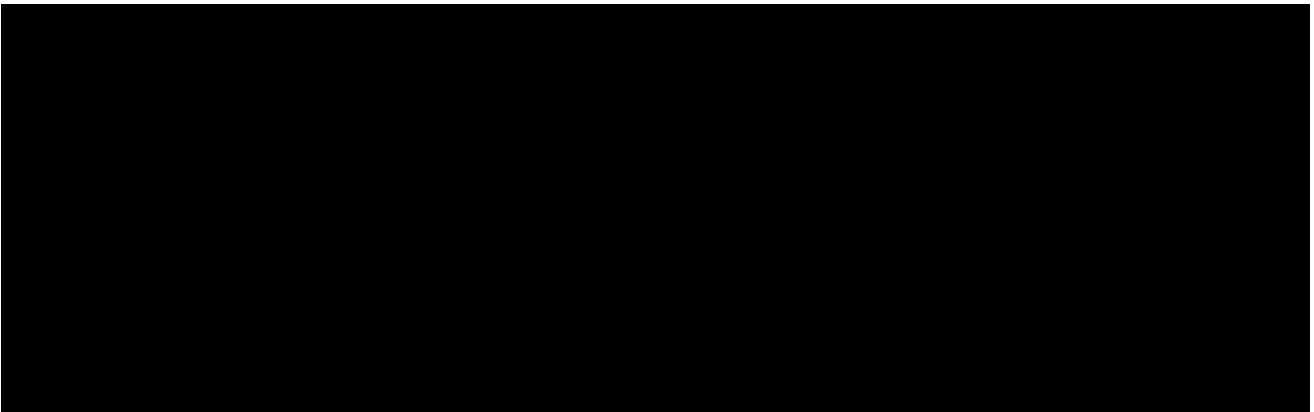
197. The difference between the contract cost – that OJC would have had but for Maersk's retaliation – to ship either 4,200 or 4,700 containers and the spot market cost to ship the same containers is the measure of OJC's actual injury. CX 426; CX 473 ¶ 27.

198. In order to calculate the shipping rate difference damages, OJC projected how many containers it would have shipped on each route, such as, how many containers shipped from China, Brazil, and how many containers delivered to California and Kentucky. CX 473-474 ¶ 27; Weiss Decl., Ex. 100.

199. OJC looked at the contract rates for each of those routes, and multiplied those rates by the number of containers projected to be shipped in each of those routes. CX 473-474 ¶ 27.

200. The contract between OJC and Respondent included also drayage fees, however, the spot rates does not include drayage. Therefore, in order to compare apples to apples, OJC has removed drayage from this computation. CX 473-474 ¶ 27.

201. The result is as follows (CX 473-474 ¶ 27):



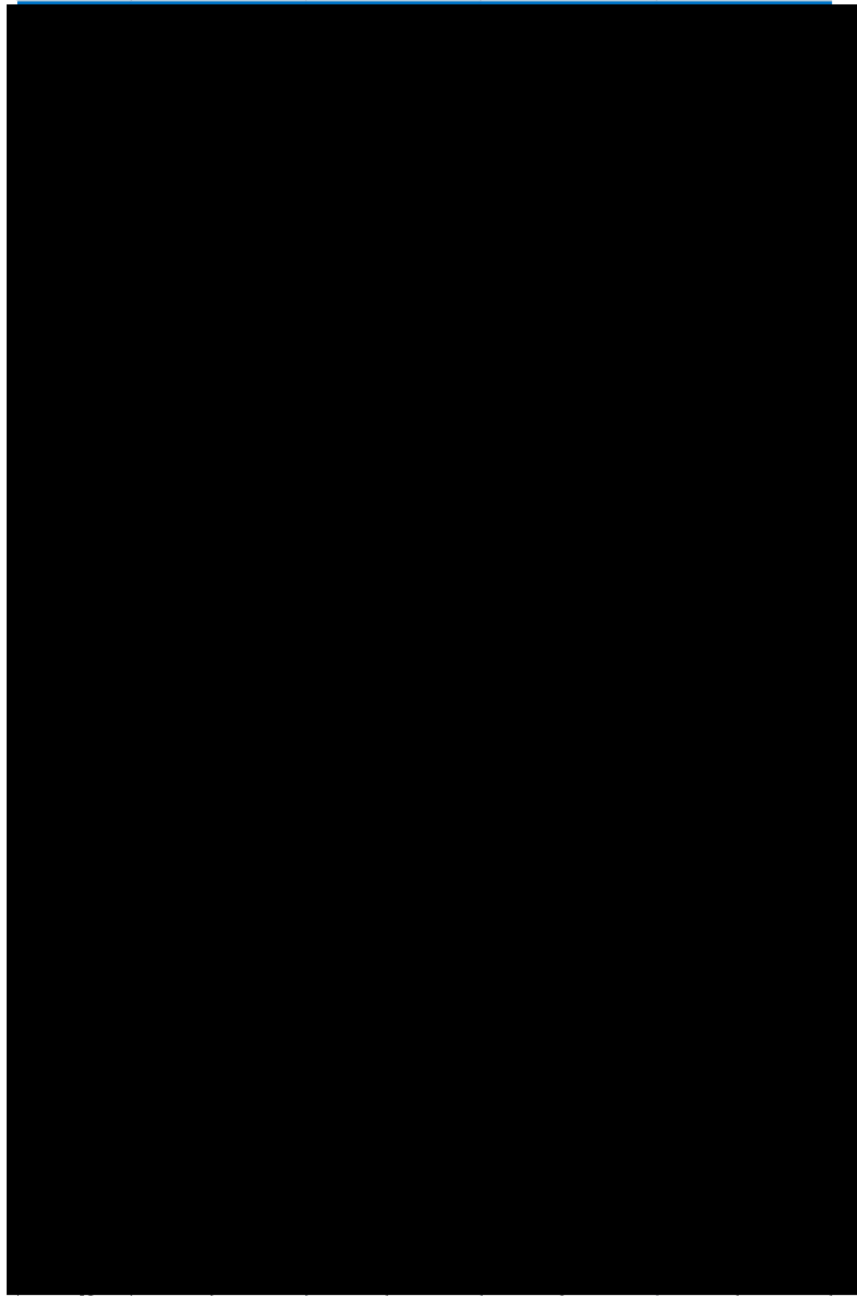
202. The next step is to do the same exercise using spot prices rather than contract prices. CX 473-474 ¶ 27.

203. The next step is to do the same exercise using spot prices rather than contract prices. CX 473-474 ¶ 27.

204. To determine the spot prices, OJC used the following sources or made the following assumptions absent Maersk's actual data that the Court ordered produced but Maersk refused to provide:

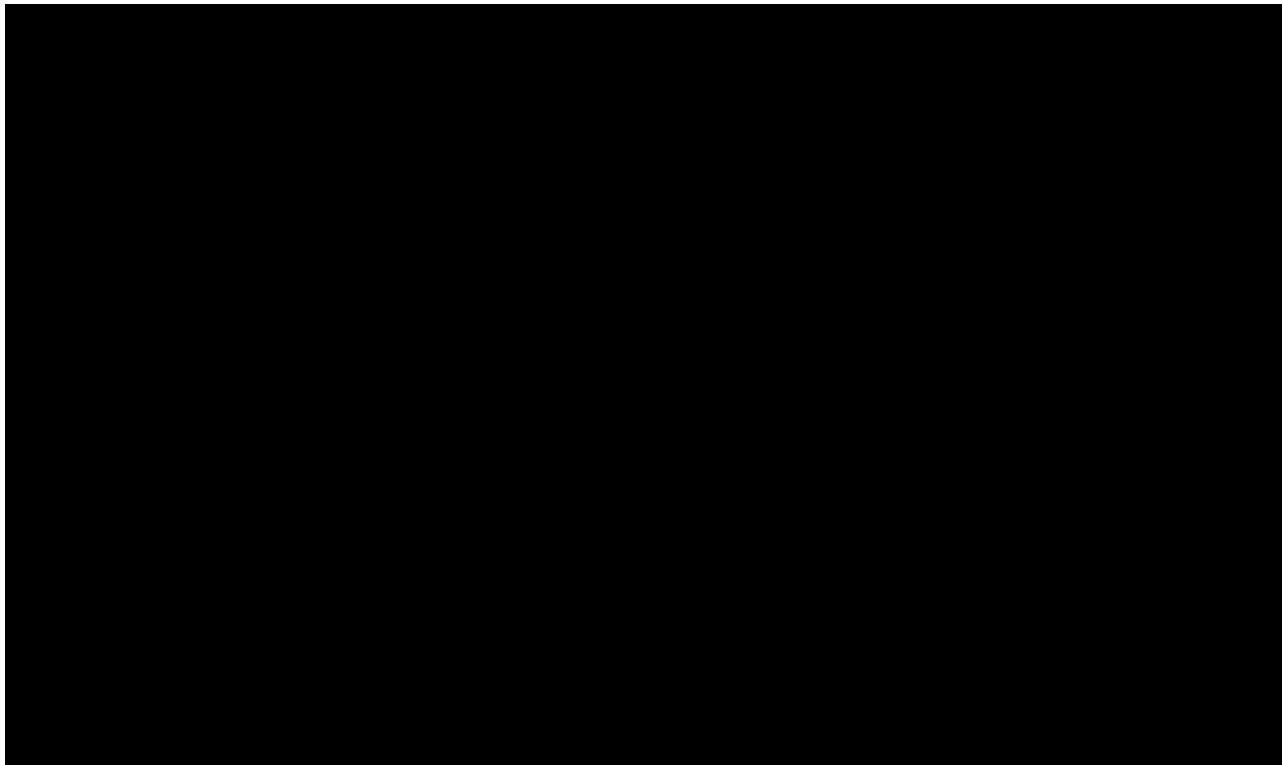
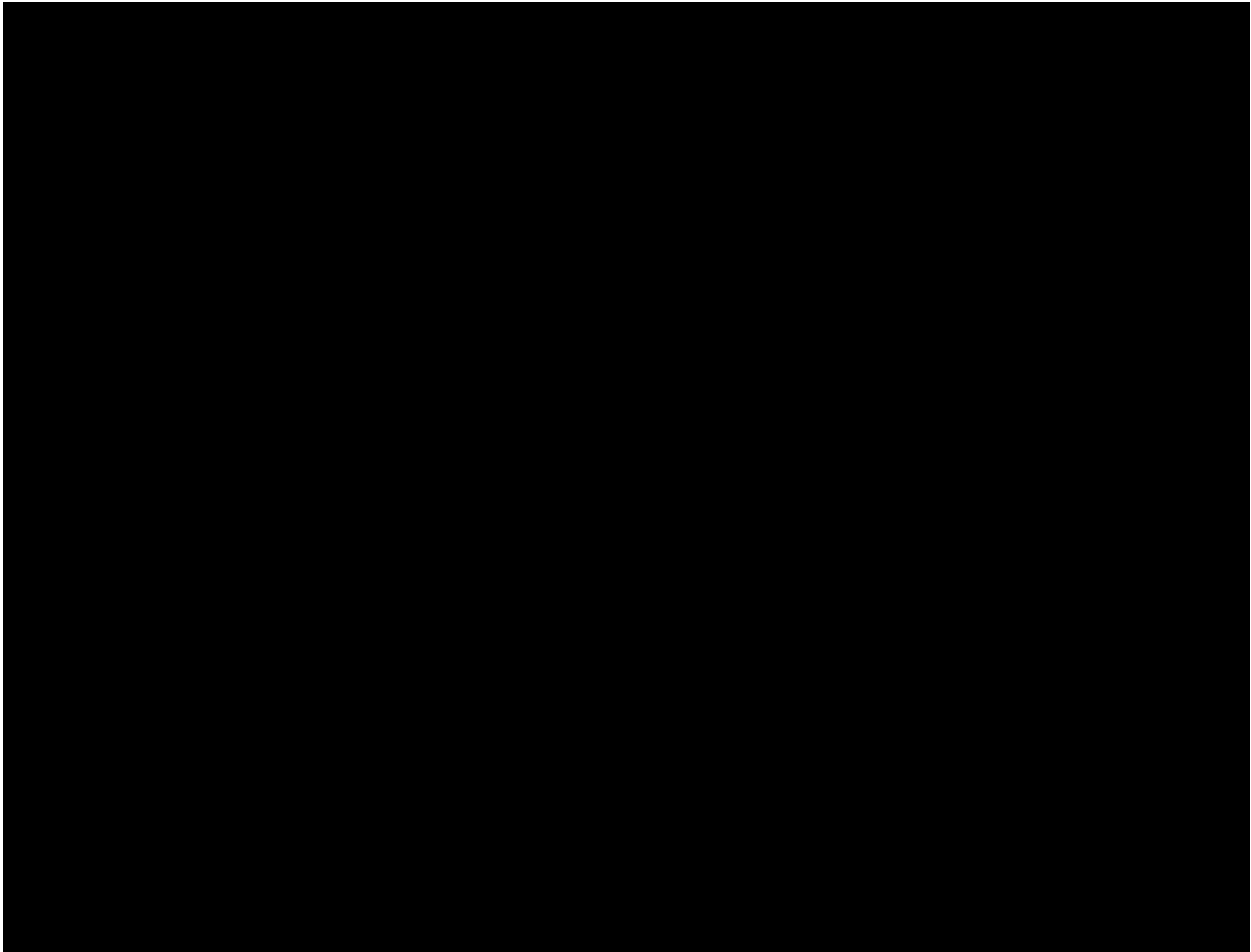
- OJC used spot rates from Xenta and Drewry for the China to California routes. (CX 427)
- For the China to Kentucky routes, neither Xenta or Drewry had sufficient data points that allowed them to confidently publish rates. Rather, OJC used a multiplier of China to California, at the same ratio as the contract rates. (CX 427)
- For the Brazil to California and Brazil to Kentucky routes, the spot rates were not available. OJC therefore used [REDACTED] for all periods as this amount approximates what OJC actually paid during this time frame. (CX 427, 462)
- As Respondents still have not released their spot shipping prices including all surcharges, OJC added an estimate to include the surcharges. OJC determined that surcharges during the relevant timeframe ranged from [REDACTED] to as much as [REDACTED]. The [REDACTED] (low end of the range) of surcharges has been added per container. CX 473-474 ¶ 27; CX 462; CX 474 ¶ 28(2). Spot rates calculations without the surcharges are available at CX 427-429.

205. OJC then computed the average of the monthly rates for each of the sources to be:



CX 427-428; CX 474 ¶ 29.

206. OJC then computed the total spot shipping costs for both sources (Xenta and Drewry) and both volumes of containers (4,200 and 4,700) as follows:



[illegible]

CX 463-464; CX 474 ¶ 30.

207. Finally, the difference between the contract cost and the spot market cost is computed for damages:

CX 464; CX 474 ¶ 30.

208. Had Maersk not retaliated and had it renewed its contract with OJC as promised, OJC would not have incurred these losses. CX 475 ¶ 32.

209. OJC provided two alternative methods to compute its damages, with the totals for each summarized below:

CX 464; CX 475 ¶ 33. For a summary of OJC's damages that includes the spot rates calculations without the surcharges, *see* CX 436.

210. As can be seen from the vast difference between the contract rates and spot rates

during the relevant time, Maersk greatly benefitted from retaliating and unreasonably refusing to deal with OJC. CX 464; CX 475 ¶ 33.

211. Maersk was perfectly capable of shipping OJC's 4200-4700 containers, and Maersk knew it. CX 469 ¶ 16.; CX 283-284; *see also* CX 285-286, HSDG's Resp. to OJC RFA 1-4 (Respondents admitting that they entered into service contracts after they retaliated against OJC).

212. Maersk had entered into service contracts for at least 25,402 TEUs after Maersk made the "executive decision" to retaliate against OJC, and that's not including the space that Maersk sold on the spot market. CX 469 ¶ 16.; CX 283-284; *see also* CX 285-286, HSDG's Resp. to OJC RFA 1-4 (Respondents admitting that they entered into service contracts after they retaliated against OJC).

213. Because Respondents retaliated against OJC so late in the contract season, OJC could not obtain a shipping contract with any other carrier. Nonetheless, Weiss tried to do so, to no avail. CX 468-469 ¶ 14.

214. During the negotiations for the 2020-2021 Contract, OJC originally proposed a minimum volume of "1266x40hc per year" (approximately 2500TEU) that included a Kentucky line. CX 242-243.

215. According to Maersk, however, OJC had to sign a contract with a different carrier because Maersk "rejected it initially." CX 242-243.

216. At that time, Maersk admittedly regretted its decision to reject OJC's 2020-2021 volume based on the Kentucky issue, formulated possible solutions, and bemoaned that "[e]specially for this kind of volume, I would have love[d] to take a look [at solutions] before we declined 2500TEU." CX 242.

217. Casanova had communicated to Weiss that Maersk wanted to ship to Kentucky in

2021-2022 to make up for its failure to previously secure OJC’s Kentucky business for the year prior. CX 468 ¶ 13; *see also* CX 203, 214-215.

218. Maersk confirmed that shipments from Asia to Charleston, SC or Savannah, GA (which connect to Kentucky) would make OJC “more attractive” than if it only imported to California. CX 92-93, 137:13 - 139:20, 142:3-21.

219. Maersk also confirmed internally that OJC’s warehouse was very close to the railyards needed for the movement of containers, so Maersk could handle that lane. CX 203; CX 410, 125:25 - 127:25.

220. OJC’s plan to “move between 4200 to 4700 FFE” was based on projections that OJC had put together during 2020-early 2021 by analyzing product sales, quantities of product in stock, consumer demand, clicks and queries about products in and out of stock, and calls into the company about products, with the analysis indicating that 4,598 containers would be needed for fiscal 2021. CX 468, 475 ¶¶ 11, 34; Weiss Decl, Ex. 100.

221. Maersk was told of these projections months before the expiration of the 2020-2021, and it led to Maersk enticing OJC to consolidate all its shipping needs with Maersk. CX 468, 475 ¶¶ 11, 34; Weiss Decl, Ex. 100.

222. As a result of Maersk’s promises, the Parties agreed to ship 4200-4700 FFE in 2021-2022. CX 468, 475 ¶¶ 11, 34; Weiss Decl, Ex. 100.

223. This Court noted that “given changing market conditions, it is not clear that that past performance would be relevant to the timeframe at issue.” CX 315.

224. OJC’s increase from around 2500 TEU – which OJC offered to Maersk for 2020-2021 – to at least 4200 FFE was consistent with the marketwide, historically-high spike in demand for household goods that came from so many sheltering at home during the pandemic. CX 406.

225. It was OJC's ideal breakdown to ship around 70% of its 4200-4700 FFE volume from Asia to Kentucky, and the remainder to California. CX 475 ¶ 35; CX 203.

226. OJC informed Casanova that if Kentucky was again an issue, OJC could ship all the 4200-4700 FFE through California, as OJC's California had warehouses that could accommodate all the additional space. CX 475 ¶ 35.

227. Maersk knew that OJC could be flexible with where its shipments were sent because 100% of its containers were sent to California during the first Contract. CX 119-135; CX 475 ¶ 35.

228. Not only has Maersk violated the section against retaliation, but it has also knowingly and willfully done so. CX 220-221, 227; CX 96, 208:4-18; CX 95-96, 204:24 – 206:19.

229. Maersk knew that retaliation was prohibited under the Shipping Act but did so against OJC anyway, literally within hours after OJC threatened to complain to the FMC about Maersk's Shipping Act violations. *Compare* CX 209-211 *with* CX 220 (Email dated April 29, 2021 1:13 PM).

Dated: November 9, 2022

Respectfully Submitted,

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